

CAPITAL MARKETS

The Deal Looked Like a Sale. It Was a Basis Reset.

Prime Residential's \$35.5M buy of two value-add properties shows the market is rewarding defensible entry pricing, not stories.

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A source-grounded Light Tower Insight. The complete note follows.

The \$35.5 million sale of The Cedars and Creekside Terrace in Castro Valley looks like a straightforward value-add trade. A developer sells two neighboring apartment properties it built. A San Francisco buyer steps in with a seven-year Freddie Mac loan. The press release calls it a sale. Economically, it is a basis reset.

The transaction matters because it shows what liquidity actually requires in today's multifamily market. It is not a story about deferred maintenance or rent growth potential. It is a story about entry price. The buyer, Prime Residential, paid \$21.4 million for The Cedars and \$14.1 million for Creekside Terrace. Those numbers are not just the price. They are the underwriting condition that made the deal possible.

Felson Cos., the original developer, sold both assets. The seller's identity is as important as the price. A developer who built and held through the cycle is now exiting. That is not a signal of distress. It is a signal that the basis the developer needed to hold no longer matches the basis a buyer needs to enter. The gap between those two numbers is where the market is clearing.

The financing tells the same story. Berkadia arranged a seven-year, fixed-rate Freddie Mac loan with full-term interest-only payments. That is agency debt at its most accommodating. The buyer gets rate certainty, no amortization drag, and a term long enough to execute a business plan. But agency debt does not solve every problem. It solves the problem of a sponsor who can underwrite a defensible basis. Prime Residential is not betting on rent growth to save a bad entry price. It is betting that the basis itself provides the margin.

The Cedars has 83 units. Creekside Terrace has 52. Combined, the portfolio trades for roughly \$263,000 per unit. In the East Bay, that is not a distressed price. It is a price that leaves room for capital improvements, leasing costs, and a return that does not depend on heroic assumptions. The buyer is not trying to prove that Castro Valley rents will double. It is proving that a disciplined basis, combined with agency leverage, can produce a real yield.

This is the underwriting condition that separates an investable deal from an attractive story. A story says: this market is growing, rents are rising, and the asset has upside. An investable deal says: the entry

price is low enough that even if the story is only partly true, the equity still works. Prime Residential is buying the second version. The Freddie Mac loan confirms it. Agency lenders do not finance stories. They finance cash flow, sponsor strength, and basis.

The transaction also reveals something about the seller. Felson Cos. developed these properties. It held them through the post-2021 repricing. Now it is selling. The timing suggests the developer concluded that the current bid is good enough. Not great. Good enough. That is a meaningful distinction. A seller who waits for a great bid often waits past the point where liquidity is available. A seller who accepts a good enough bid gets out with capital to redeploy. The market is full of sellers who waited too long. Felson Cos. is not one of them.

For buyers, the lesson is straightforward. The market is not rewarding optimism. It is rewarding structure. Prime Residential did not win this deal by offering the highest price. It won by offering a price that could be financed. That is a different skill. It requires understanding what agency debt will underwrite, what the seller will accept, and what the asset can actually produce. The buyer that masters all three gets liquidity. The buyer that masters only one gets a story.

For owners with maturing loans, the implication is uncomfortable. The bid is not coming back to 2021 levels. It is settling at a level that reflects current debt costs, current rent growth, and current buyer return requirements. That level is lower. The question is not whether to accept it. The question is whether waiting improves the bid or just consumes time. Felson Cos. decided that time was not on its side. Other owners will have to make the same calculation.

The Castro Valley sale is a small deal in dollar terms. But the mechanism it reveals is large. Liquidity is returning to multifamily, but only where the basis is defensible. That is not a temporary condition. It is the new underwriting standard. The market is not rewarding stories. It is rewarding structure. The sooner owners and lenders accept that, the sooner they can transact.

SOURCES

- RE Business Online —
<https://rebusinessonline.com/berkadia-arranges-35-5m-sale-of-two-multifamily-properties-in-castr-o-valley-california/>

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